CBLE Master Study Guide

U.S. Customs Broker License Examination · target sitting: October 2026 · consolidated from 19 CFR, HTSUS and FCBF class material

> **Read this first.** The CBLE is open book, but only **authorized** references may enter the room — typically the HTSUS, 19 CFR Parts 0–199, the ACE Business Process Document, the *Instructions for Preparation of CBP Form 7501*, and listed CBP directives. **This document is not on that list.** Use it to study and to decide what to annotate in the margins of your own authorized materials. Confirm the permitted list in the **Notice of Examination** for your sitting — that notice governs, not this guide.

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1 · Customs business and the broker · Part 111

The definition that opens the exam (111.1)

IT IS customs business — done for others, requires a license: entry and admissibility of merchandise (including TIB); classification and valuation; payment of duties, taxes and fees; refunds and drawback; and preparing or signing documents for those activities intended for CBP.

It is NOT customs business — no license required: mere electronic transmission of data with no judgment over content; an importer acting on its own behalf; corporate compliance activity guiding affiliates of the same corporate group; marketing, freight and pure logistics.

> **Customs territory (101.1):** the 50 states + District of Columbia + **Puerto Rico**. OUTSIDE: U.S. Virgin Islands, Guam, American Samoa and other territories.

> **Trap.** The exam loves the negative side of the definition — wrong options dress up as "customs business" something that isn't, or the reverse. Also watch Puerto Rico (inside) versus USVI/Guam (outside).

License requirements — individual (111.11)

- U.S. citizen — **duration of citizenship is irrelevant**
- **21 years of age** before applying
- Not an officer or employee of the United States
- Good moral character and reputation
- **75%** on the examination
- Application on **CBP Form 3124** + fee, filed within **3 years** of passing

Firms and the permit

Partnership / corporation / association: licensed by having at least **one licensed qualifying member or officer**, who must exercise **responsible supervision and control** (111.28).

National permit: single and nationwide — enables customs business throughout the customs territory. The firm must designate a knowledgeable **point of contact** available to CBP **during and outside** normal

operating hours.

Without a license (111.4): penalty of **$10,000** per transaction or violation, capped at **$30,000** total.

> **License ≠ permit.** The license qualifies the person or firm; the national permit authorizes the practice. Losing the qualifying member does not automatically void the license — but there are reporting deadlines (see §4).

2 · Broker duties, records and discipline · Part 111

Conduct

- Promptly transmit funds — CBP refund checks to the client, duties to CBP
- Keep client funds in **separate accounts**
- Do not withhold client documents to force payment of fees
- Give the client **written notice** of debts owed to CBP
- If a client refuses to correct a known error, the broker **withdraws** from the transaction and advises the client of the error
- No fee-sharing with anyone whose license was suspended or revoked
- Confidential client records: disclose only to the client, to CBP, or as ordered by a court — **not** to the surety, freight forwarder or other clients

Records (111.23)

Keep customs business records **5 years**. Records transmitted to CBP must still be kept by the broker — CBP retaining a copy does **not** relieve the broker.

Cyber breach (111.21)

On discovering a breach of electronic or physical records relating to customs business, notify **CBP SOC** (Office of Information Technology Security Operations Center) electronically within **72 hours**.

Discipline

Denial, suspension and revocation with notice and hearing. Monetary penalty up to **$30,000** per violation. Suspension **by operation of law** (missed triennial report) is automatic and is cured by filing the report and fee — distinct from disciplinary suspension, which requires process.

> **Convicted felon employee.** Knowingly employing a person convicted of a felony without CBP approval — the broker must request approval from the Executive Director, Office of Trade.

3 · Bonds · Part 113

The three parties

Principal (importer/broker — obtains the bond), **Surety** (guarantees, jointly and severally, but only up to the bond amount), **CBP** (beneficiary).

Types

- **Single Transaction Bond (STB)** — one entry
- **Continuous bond** — all entries for 1 year, auto-renewing. Activity Code 1 (importer) minimum generally **$50,000** or 10% of duties/taxes/fees paid in the prior 12 months

Riders (113.24)

Amend an existing bond without reissuing it: **name change**, **addition of trade name / co-principal**, **increase or decrease** of amount. Requires signature of principal **and** surety, and CBP approval. A rider has its own effective date and does **not** retroact.

> **Rider ≠ new bond.** A genuine change of legal identity — merger, succession, change of entity type — requires a **new bond**, not a rider. Termination (113.27) is different again: it ends the bond and has its own notice rule.

Inadequate bond

If CBP determines a bond is insufficient, the principal has **15 days** from notification to cure (113.13).

4 · Master deadlines table

Obligation	Deadline	Source
📦 **ENTRY AND RELEASE**		
File the entry (release) after arrival	15 calendar days	142.2
Unentered merchandise becomes General Order	after 15 days	127.1
Sale/disposition of G.O. merchandise	6 months	127.14
Entry summary + duty deposit after release	**10 business days**	142.12
Redelivery demand	generally within 30 days of conditional release	141.113
Respond to CBP Form 28 (Request for Information)	30 days	practice
Respond to CBP Form 29 (Notice of Action, "proposed")	20 days from notice date	practice
💰 **PAYMENT AND LIQUIDATION**		
Periodic Monthly Statement (PMS)	by the 15th business day of the following month	24.25
Deemed liquidation (automatic if CBP does not act)	**1 year** from entry	159.11
Liquidation extensions	up to +3 years (max 4 total)	159.12
Voluntary reliquidation by CBP	90 days from notice of liquidation	173.3
Post Summary Correction (PSC)	within 300 days of entry AND 15 days before liquidation	ACE
⚖ **CHALLENGES AND PENALTIES**		
Protest	**180 days** from liquidation/decision	174.12
Accelerated disposition of a protest	demandable after 90 days; 30 days of silence = denied	174.22
Petition against a penalty	60 days from the notice	171.2
Petition against liquidated damages	60 days from the notice	172.3
USMCA post-importation preference claim	1 year from importation	182.32
Prior disclosure	before knowledge of a formal investigation	162.74
♟ **BROKER — PART 111**		
Keep customs business records	5 years	111.23
Power of attorney duration	partnership: max. 2 years from execution · all other grantors: **UNLIMITED**	141.34
Revoked POA + letter of revocation	5 years after revocation OR after client ceases to be active — whichever is **LATER**	141.46
Client funds received after the debt to CBP is due	transmit to CBP within **5 working days**	111.29(a)
Client funds received from CBP (refunds)	account and pay to client within 60 calendar days	111.29(a)
Change of address (office of record, mailing or e-mail)	10 calendar days	111.30(a)
Employee list — hiring, termination or any change	30 days from the event	111.28(b)
Individual broker terminated from the firm they qualify	**IMMEDIATE** written notice to Executive Director, Office of Trade	111.28(d)
Firm reports organization changes	10 calendar days, in writing, to the processing Center	111.30(b)
Triennial status report + fee	60 calendar days (filed in the reporting period)	111.30(d)
Cyber breach notification to CBP SOC	**72 hours**	111.21(b)
Broker with no national permit qualifier	180 days to replace	111.45(a)
🎟 **BONDS — PART 113**		
Cure an inadequate bond	15 days from notification	113.13(c)
Surety terminates a continuous bond	60 days advance notice	113.27

5 · CBP forms

Form	Name	What it does	Source
19	Protest	Challenge a CBP decision after liquidation — 180 days	174
28	Request for Information	CBP **asks** for information before deciding — not yet an action	151.11
29	Notice of Action	CBP **notifies** action taken or proposed	152.2
214	Application for FTZ Admission	Admits merchandise into a zone — creates the cargo/zone link (e214 electronic)	146.32
301	Customs Bond	Principal + surety + CBP; single transaction or continuous	113
434	USMCA Certificate of Origin	Origin certification; may be a blanket up to 12 months	182
3124	Broker License Application	Filed within 3 years of passing the exam	111.12
3347	Declaration of Owner	Shifts liability for duties to the actual owner	141.20
3461	Entry / Immediate Delivery	**Releases** cargo from CBP custody — does not determine duty	142.3
4647	Notice to Mark / Redeliver	Demands correct marking or redelivery; ignoring it triggers liquidated damages	141.113
4811	Special Address Notification	Sends the refund check to an address other than the importer's	24.36
5106	Importer Identity	Creates or updates the importer record	24.5
5291	Power of Attorney	Partnership max. 2 years; all others unlimited	141.32; 141.34
6059B	Customs Declaration	Traveler's declaration on arrival	148.12
7501	Entry Summary	**Determines** duties, taxes and fees; feeds statistics — 10 working days	142.11; 142.12
7512	Transportation Entry and Manifest	In-bond: 61 = IT, 62 = T&E, 63 = IE. Also FTZ/warehouse withdrawals	18

Pairs the exam confuses. 28 requests information, **29 notifies** an action. **3461 releases** cargo, **7501 determines** duty. **4647** is redelivery and lands on the **bond**; **29** is a change of decision and lands on the **protest**.

4 · Forms · all of them, by function

Correction worth memorizing. CBP Form 434 is the **NAFTA** certificate of origin. **USMCA prescribes no form** — it requires a certification bearing the **9 minimum data elements**, in any format, including on the commercial invoice itself.

Form	Official name	What it does	Source
ENTRY · ENTRY SUMMARY · RELEASE			
3461	Entry / Immediate Delivery	The entry itself: releases cargo from CBP custody. Does **not** determine duty.	19 CFR 142.3
7501	Entry Summary	Determines duties, taxes and fees and feeds statistics. Due 10 working days from time of entry.	19 CFR 142.11; 142.12
7501A	Entry Summary Continuation Sheet	Continuation sheet for the 7501 when there are more lines than fit.	19 CFR 141.61
7523	Entry and Manifest of Merchandise Free of Duty	Simplified entry for low-value duty-free merchandise arriving other than by mail.	19 CFR 143.23
368	Collection Receipt	Receipt for cash payment collected by CBP.	19 CFR 24.22
BOND · POA · IDENTITY			
301	Customs Bond	The bond. Three-party contract: principal + surety + CBP. Single transaction or continuous.	19 CFR 113
5291	Power of Attorney	Customs power of attorney. Partnership: max 2 years; all other grantors: unlimited.	19 CFR 141.32; 141.34
5106	Create / Update Importer Identity Form	Creates or updates the importer's identity record with CBP.	19 CFR 24.5
3347	Declaration of Owner	Declaration of the actual owner — shifts liability for duties from the nominal consignee.	19 CFR 141.20
3124	Application for Customs Broker License	Application for a customs broker license after passing the exam.	19 CFR 111.12
CBP TALKS TO YOU · ENFORCEMENT			
28	Request for Information	CBP **requests** information before deciding. Not yet an action.	19 CFR 151.11
29	Notice of Action	CBP **notifies** an action taken or proposed — change of classification, value or rate.	19 CFR 152.2

19	Protest	Challenge to a CBP decision **after** liquidation. Filed within 180 days of liquidation.	19 CFR 174
4647	Notice to Mark / Notice to Redeliver	CBP demands proper marking or redelivery of released cargo. Ignoring it triggers liquidated damages.	19 CFR 141.113
5955A	Notice of Penalty or Liquidated Damages Incurred	Notice of penalty or liquidated damages. Opens the path to a petition for relief.	19 CFR 172
4811	Special Address Notification	Authorizes sending the refund check to an address other than the importer's — e.g. the broker.	19 CFR 24.36
6051D	Detention Notice	Notice that merchandise has been detained, and why.	19 CFR 151.16
4315	Application for Allowance in Duties	Claim for a duty allowance on merchandise damaged, deteriorated or short on arrival.	19 CFR 158
IN-BOND · FTZ · WAREHOUSE			
7512	Transportation Entry and Manifest (in-bond)	In-bond movement. **61 = IT**, **62 = T&E**, **63 = IE**. Also used for FTZ/warehouse withdrawal.	19 CFR 18
214	Application for Foreign-Trade Zone Admission	Admission of merchandise into an FTZ. Creates the link between the cargo and the zone.	19 CFR 146.32
216	Application for Foreign-Trade Zone Activity Permit	Authorizes manipulation, manufacture, destruction or exhibition inside the zone.	19 CFR 146.52
5931	Discrepancy Report	Reports an overage or shortage found in a bonded warehouse or FTZ.	19 CFR 19.6
6043	Delivery Ticket	Delivery receipt used for movements under customs custody.	19 CFR 18.3
FREE ENTRY · REIMPORTATION · TIB			
3311	Declaration for Free Entry of American Goods Returned	U.S. goods returned without having been advanced abroad — supports **9801.00.10**.	19 CFR 10.1
3299	Declaration for Free Entry of Unaccompanied Articles	Unaccompanied baggage and household effects.	19 CFR 148
4455	Certificate of Registration	Registers the article **before** export so identity can be proven on return — repairs and alterations.	19 CFR 10.8; 10.9
4457	Certificate of Registration for Personal Effects Taken Abroad	Same logic as the 4455, but for a traveler's personal effects.	19 CFR 148.1
3495	Application for Exportation of Articles under Special Bond	Exportation of merchandise entered under **TIB** (Ch. 98, subch. XIII) before the period expires.	19 CFR 10.38
CARRIER · MANIFEST · VESSEL			
7509	Air Cargo Manifest	Air cargo manifest.	19 CFR 122.48
1302	Inward Cargo Declaration / Manifest	Inward cargo manifest, vessel.	19 CFR 4.7
1300	Vessel Entrance or Clearance Statement	Vessel entrance and clearance.	19 CFR 4.9
1303	Ship's Stores Declaration	Ship's stores.	19 CFR 4.7
1304	Crew's Effects Declaration	Crew's personal effects.	19 CFR 4.7
7533	Inward Cargo Manifest for Land, Rail or Small Vessel	Inward manifest for truck, rail car or small vessel.	19 CFR 123.4
226	Record of Vessel Foreign Repair or Equipment Purchase	Foreign repair of a U.S.-flag vessel. Note the **50% duty** on the cost.	19 CFR 4.14
3171	Application–Permit–Special License for Unlading, Lading or Overtime	Authorizes unlading, lading or after-hours service — inspector overtime.	19 CFR 4.30; 24.16
349	Harbor Maintenance Fee Quarterly Summary Report	Quarterly HMF remittance outside the import context.	19 CFR 24.24
ORIGIN AND AGREEMENTS			
434	NAFTA Certificate of Origin	**NAFTA** certificate of origin. USMCA has **no prescribed form** — it requires a certification with **9 minimum data elements** in any format, including on the invoice. Blanket up to 12 months.	19 CFR 182.12
PARTNER GOVERNMENT AGENCIES (PGA)			
FDA 2877	Declaration for Imported Electronic Products Subject to Radiation Performance Standards	Radiation-emitting electronic products — microwaves, lasers, X-ray, displays.	21 CFR 1005
EPA 3520-1	Declaration for Imported Motor Vehicles and Engines	Emissions compliance for vehicles and engines.	40 CFR 85

DOT HS-7	Declaration — Importation of Motor Vehicles and Equipment	Vehicle **safety** compliance. Travels with the EPA 3520-1.	49 CFR 591
FWS 3-177	Declaration for Importation or Exportation of Fish or Wildlife	Wildlife, protected species, exotic leathers, CITES.	50 CFR 14
ATF Form 6	Application and Permit for Importation of Firearms, Ammunition and Implements of War	Firearms, ammunition and implements of war.	27 CFR 447
TTB 5100.31	Certificate of Label Approval (COLA)	Alcohol beverage label approval.	27 CFR 13

> **Pairs the exam confuses.** 28 *requests* information, 29 *notifies* an action · 3461 *releases* the cargo, 7501 *determines* the duty · 4647 is redelivery and hits the bond, 19 is protest and hits liquidation · 4455 registers before export, 3311 declares on return · 214 admits into the FTZ, 216 permits the activity inside it.

4c · Port codes · Schedule D

A Schedule D port code is always **4 digits**. The **first two** identify the **district**; the **last two**, the **port within it**. Reading the code already tells you the region. **5201** = district 52 (Miami) + port 01. **1910** = district 19 (Mobile) + port 10 (Huntsville) — all of Alabama sits in district 19, inland dry ports included.

The four code sets the exam mixes up

Set	Format	Identifies	Full name
Schedule D	4 digits	**U.S.** ports	Districts and Ports — HTSUS statistical annex
Schedule K	5 digits	**Foreign** ports	Classification of Foreign Ports — published by USACE
FIRMS	4 characters, alphanumeric	A specific **facility**: CFS, warehouse, FTZ	Facilities Information and Resources Management System
Schedule C	numeric	**Country**	Classification of Country and Territory Designations

Where each code appears on the 7501

Block	Field	Code set	What it is
6	Port Code	Schedule D	Port of **entry** — where the entry is filed
19	Foreign Port of Lading	Schedule K	Foreign port of **lading**
20	U.S. Port of Unlading	Schedule D	U.S. port of **unlading** — may differ from block 6
21	Location of Goods / G.O. Number	FIRMS	Facility holding the cargo

> **The classic trap.** Port of **entry** (block 6) and port of **unlading** (block 20) are not the same. Cargo unladed in Savannah and entered in-bond at Miami has block 20 = Savannah and block 6 = Miami. The exam builds the scenario exactly that way.
>
> **You do not memorize these.** Schedule D is printed in the HTSUS statistical annexes, which are authorized material. What is tested is knowing where to find it, reading the district+port structure, and not confusing Schedule D with Schedule K. Tab the page before the exam.

6 · Entry and entry summary · Parts 141–143

The two distinct acts (141.0a)

	Entry	Entry summary
Purpose	Release the cargo	Determine duty; declare
Form	CBP Form 3461	CBP Form 7501
Deadline	15 calendar days from arrival	10 working days from time of entry
Payment	No — secured by bond	Yes — deposit of estimated duties
Statute	19 USC 1484(a)(1)(A)	19 USC 1484(a)(1)(B)

Entry Summary Certified for Cargo Release — a single ACE transmission serving both functions. Under 141.68(a)(2) the **time of entry** is when the entry summary is filed in proper form with estimated duties deposited.

Right to make entry (141.11 & 141.12)

Acceptable evidence: bill of lading or air waybill properly endorsed; a **certified duplicate** bill; a shipping receipt or other document in lieu of a bill when entry is made by the actual consignee in person. **Not** acceptable: an extract from a bill that has **not** been certified as genuine by the carrier.

> **Lien.** A carrier's or warehouseman's lien blocks release even where someone otherwise has the right to make entry. CBP does not arbitrate the debt — it simply does not release. *Right to make entry ≠ right to take the goods.*

Duty rate — which one applies (141.69)

The rate in effect on the **date of entry**, **except**:

- **Warehouse entry** — the rate at the time of **withdrawal**
- **Immediate Transportation (IT)** — the rate in effect when the **IT entry was accepted at the port of original transport**
- Informal **mail** entry — when the CBP employee completes preparation of the entry documentation

> **Practical effect of the IT exception.** On cargo moving in bond the rate **freezes** at IT acceptance in the origin port. A tariff change mid-route does not reach the shipment.

Invoices (141.81–141.86)

- **141.81** — a commercial invoice **is required**
- **141.83(d)** — the situations where an invoice is **not** required
- **141.86(a)** — the information that must appear on each invoice; missing data may be entered manually
- **141.86(d)** — the invoice must be **in English**

Recall of merchandise (141.113(a))

Even **after release**, CBP may recall merchandise into its custody, using **CBP Form 4647**. Failure to redeliver → **liquidated damages** under the bond.

Commingled goods (152.13)

Goods of different rates packed together so that quantity/value of each class cannot be readily ascertained are dutiable at the **HIGHEST** rate applicable to any part — unless the consignee segregates them.

CBP Form 7501 — the blocks

Block	Field
1	Filer Code / Entry Number
2	Entry Type
3	Summary Date
4	Surety Number
5	Bond Type
6	Port Code
7	Entry Date
8	Importing Carrier
9	Mode of Transport
10	Country of Origin
11	Import Date
12	B/L or AWB Number
13	Manufacturer ID (MID)
14	Exporting Country
15	Export Date
16	I.T. Number
17	I.T. Date
18	Missing Documents
19	Foreign Port of Lading
20	U.S. Port of Unlading
21	Location of Goods / G.O. Number
22	Consignee Number
23	Importer Number
24	**Reference Number** — agent's importer number when CBP Form 4811 is on file
25	Ultimate Consignee Name and Address
26	Importer of Record Name and Address
27	Line Number
28	Description of Merchandise
29	Weight / Manifest Quantity
30	Net Quantity in HTSUS Units
31	Entered Value
32	HTSUS / AD-CVD / IRC Rate · Visa Number
33	Duty and IR Tax
34	Totals — other fees
35	Total Entered Value

> **Block 24 and the CBP Form 4811.** Where the importer of record wants refunds, bills and notices of liquidation mailed in care of its agent and a **Form 4811** is on file, the **agent's importer number** goes in **Block 24 — Reference Number** (19 CFR 141.61, Subpart E (a)(3)). Every distractor on the October 2022 exam was a neighbouring block: 22 Consignee Number, 23 Importer Number, 25 Ultimate Consignee, 26 Importer of Record.

Canada — report the province, not "CA"

For merchandise of Canadian origin, the country of origin field takes the **province** code, not the country code.

Code	Province or territory
XA	Alberta
XB	British Columbia
XM	Manitoba
XW	New Brunswick
XN	Newfoundland and Labrador
XT	Northwest Territories
XS	Nova Scotia
XO	**Ontario**
XP	Prince Edward Island
XQ	Quebec
XY	Yukon Territory

Ontario is XO. The exam builds distractors from other provinces — XS is Nova Scotia, XY is Yukon. Mexico likewise has state-level codes. Verify the current list in the CATAIR country code appendix, which is one of the permitted references.

Mode of transport — Block 9

Code	Mode
10	Vessel, non-container
11	Vessel, container
12	Border waterborne
20	Rail, non-container
21	Rail, container
30	Truck, non-container
31	Truck, container
32	Auto
33	Pedestrian
34	Road, other
40	Air, non-container
41	Air, container
50	Mail
60	**Passenger, hand-carried**
70	Fixed transport installations

April 2023 exam. Sample dresses arrived in the **designer's checked baggage** on a commercial passenger flight from France, formal entry required. The answer is **60 — passenger, hand-carried**, not 40 (air). What governs is **how the cargo travelled**, not what vehicle it was on. Distractors 32 (auto) and 33 (pedestrian) test the same confusion at land borders.

MID — the complete rules

Piece	Rule
Country	2-letter ISO code
Name	first 3 letters of each of the **first 2 words**. Ignore LTD, Inc., Co., unit designations such as 2F
Address	**first 4 digits** of the **LARGEST number** in the street address, read left to right
City	first 3 letters of the **city** — never the province, state or postal code

Worked example (April 2023). Chingdong Biopoi LTD 2F, No. 12 Building 3, No 51159 Rontin Ave, Wenleng Zone, Chingdong City, Sichuan, China 611149 → CN + CHI + BIO + 5115 + CHI = **CNCHIBIO5115CHI**.

Three things the distractors punish. Taking six letters from the first word instead of three from each of two (CNBIOPOI…, CNCHINGD…). Using the **province** instead of the city (…SIC for Sichuan). Keeping five digits instead of truncating to four (…51159…). Note also that the street number is the **largest** in the address — 51159, not the 12 that appears first.

7 · Entry types

Code	Meaning
01	Consumption — the default
02	Consumption — subject to quota/visa
03	Consumption — subject to AD/CVD
06	Consumption — withdrawal from a Foreign Trade Zone
07	Consumption — subject to BOTH quota and AD/CVD
08	NAFTA/USMCA duty deferral
11	Informal — general rule up to $2,500
21	Warehouse — entry into a bonded warehouse (up to 5 years)
22	Re-warehouse — transfer to another bonded warehouse/port
23	TIB — temporary importation under bond (1 year, extendable to 3)
31	Warehouse withdrawal — for consumption
32	Warehouse withdrawal — subject to quota
34	Warehouse withdrawal — subject to AD/CVD
86	Section 321 — de minimis up to $800 with PGA data (via ACE)

143.21(k) exception. Merchandise imported for **repair or alteration prior to re-exportation** qualifies for **informal entry (type 11) regardless of value**. Classic exam item: $10,000 of American Goods Returned imported for repair before re-export → **type 11**, not 08. The high value is the bait.

8 · In-bond · Part 18 · CBP Form 7512

Type	Name	Where the cargo ends
61	Immediate Transportation (IT)	Delivered to another U.S. port — entry made there
62	Transportation & Exportation (T&E)	Moved to another port **and exported** — closes on export
63	Immediate Exportation (IE)	Exported from the **same** port — no inter-port movement

Memorize by asking: **where does the cargo end?** Another U.S. port → 61. Another port then abroad → 62. Abroad from here → 63.

QP withdrawals (FTZ / bonded warehouse). The full bill or pro-bill of the **withdrawal** must be provided — **never** the original import bill. All carriers are treated as **non-automated**, so the bill is not validated against a manifest. The FTZ withdrawal indicator in QP10 must be set and zone fields populated. The **FIRMS code** of the zone or warehouse may replace the carrier's SCAC where the carrier has none or it is unknown.

Operational note. "Bill not on file" on a withdrawal usually means the withdrawal indicator was **not** set — the system fell back to manifest validation. The bill is the symptom, not the cause.

9 · Bonded warehouse · Parts 19 and 144

- Merchandise may remain **5 years** from date of importation
- Duty rate is the one in effect at **withdrawal**, not at entry (141.69)
- Withdrawal for consumption = type 31; with quota = 32; with AD/CVD = 34
- Class 3 = public warehouse; Class 2 = private; Class 6 = manufacturing; Class 8 = cleaning/repacking; Class 11 = general order
- Permit file folder or activity summary report delivered to CBP after final withdrawal
- Direct identification allows storage in multiple locations if the inventory system identifies every location and quantity per entry

10 · Foreign trade zones · Part 146

- Admission on **CBP Form 214 / e214** — this creates the zone record everything else references
- **Privileged foreign** status locks the classification and rate at the time of the PF election; **non-privileged foreign** is appraised at withdrawal condition; **domestic**; **zone-restricted** (export/destruction only)
- Withdrawal for consumption = **entry type 06**
- Under **direct delivery**, the operator verifies seals, signs the in-bond/cartage document assuming responsibility under the FTZ Operator's Bond, and forwards the documentation to the port director
- Deactivation of a site requires a **written** application by the grantee — an oral request is not sufficient

11 · Classification and the GRIs

> The GRIs apply **in sequence**. You move to the next only when the previous does not resolve. Skipping a step is the most common exam error — and the wrong option is usually the answer a later GRI would give.

GRI 1 — the text governs

Classification is determined by the **terms of the headings** and any **relative section and chapter notes**. Table of contents, index and section/chapter titles have **no legal force**.

GRI 2

2(a) — an incomplete or unfinished article is classified as complete if it has the **essential character** of the complete article; also covers goods presented **unassembled or disassembled**.

2(b) — a reference to a material includes mixtures and combinations with other materials; goods of more than one material go to GRI 3.

GRI 3

3(a) — the **most specific description** prevails. *Exception:* where two or more headings each refer to only **part** of the materials in a mixture or **part** of the items in a set, they are **equally specific** → go to 3(b).

3(b) — mixtures, composite goods and **sets put up for retail sale**: classify by the component giving the **essential character** (nature, bulk, weight, value, or role in use — no fixed formula).

3(c) — remaining ties: the heading **last in numerical order** among those equally meriting consideration.

GRI 4 — most akin

Where no heading applies, classify under the heading for the goods to which they are **most akin**. Extremely rare — if you land here in an exam question, you probably erred earlier.

GRI 5 — cases and packing

5(a) — cases **specially shaped or fitted**, suitable for long-term use, presented with the article, follow the article (unless the container gives the essential character).

5(b) — packing materials follow the goods, **except** where clearly suitable for **repetitive use**.

GRI 6 — one level down

The same rules apply at subheading level, *mutatis mutandis*. **Golden rule:** only subheadings **at the same level** are comparable — one dash with one dash, two dashes with two dashes.

Additional U.S. Rules of Interpretation

- **Principal use** — controlled by the use in the U.S., at or immediately prior to the date of importation, of goods of that **same class or kind**. Not the use *this* importer will make
- **Actual use** — intended at importation, goods so used, and **proof within 3 years**
- **Parts** — a "parts" or "parts and accessories" provision **does not prevail** over a specific provision for that part
- **Textiles** — "of a particular textile material" = the material that **predominates by weight**

> **Vocabulary.** *Prima facie* classifiable = at first sight the heading appears to cover the goods; several headings may be prima facie applicable at once, which is exactly what triggers GRI 3. It does not mean "correctly classified."

General Notes — the front of the book

GN	What it covers
1	Tariff treatment of imported goods — all goods are subject to duty unless exempted
2	**Customs Territory of the United States** — 50 states + District of Columbia + Puerto Rico
3	**Rates of Duty** — 3(a) Column 1 (General + Special) · 3(b) Column 2 · 3(c) special tariff treatment and SPI letters · 3(e) exemptions · 3(f) commingled goods · 3(g) abbreviations · 3(h) definitions
4	**GSP** — Generalized System of Preferences
5	Automotive Products Trade Act
6	Agreement on Trade in Civil Aircraft
7	**CBERA** — Caribbean Basin Economic Recovery Act
8	United States–Israel Free Trade Area
9	United States–Canada Free-Trade Agreement (historical)
10	West Bank, Gaza Strip and Qualifying Industrial Zones
11	**USMCA** — United States, Mexico and Canada
12	NAFTA (historical)
13	Pharmaceutical products
14	Intermediate chemicals for dyes
15	Exclusions
16	Freely Associated States
17	**AGOA** — African Growth and Opportunity Act
18+	Remaining bilateral agreements — Jordan, Singapore, Chile, Morocco, Australia, DR-CAFTA, Bahrain, Oman, Peru, **KORUS** (Korea), Colombia, Panama

Verify the numbering in your own book. *GN 1 through 9 are confirmed; from 10 onward the numbering of the agreements varies between HTSUS editions. Your copy's table of contents settles it in 30 seconds — and that is what governs on exam day.*

Column 2 countries — General Note 3(b)

Column 2 rates apply to products of countries **not entitled to normal trade relations (NTR)** treatment. These rates are the old Smoot-Hawley rates and are dramatically higher than Column 1 — often several times the general rate.

Country	Note
Cuba	Long-standing
North Korea	Long-standing
Russia	NTR suspended April 2022
Belarus	NTR suspended April 2022

> **Verify this list on exam day.** Column 2 membership is set by statute and changes — Russia and Belarus were added in 2022. Read **General Note 3(b)** in the HTSUS edition in force for your sitting; that text governs, not this table.

> **Where this bites.** A question giving a country of origin plus a component from a Column 2 country is testing whether you apply the origin rules first, then read the correct column. Also: when an absolute quota is closed, "enter and pay Column 2 rates" is **never** the right answer — Column 2 has nothing to do with quota.

GSP status

The Generalized System of Preferences (**SPI "A", "A*", "A+"**) has **lapsed** and requires Congressional renewal. When lapsed, importers pay the general Column 1 rate; historically, retroactive refunds have been granted upon renewal. **Confirm current status before the exam.**

MID — Manufacturer Identification Code

Built from four pieces, in this order:

Piece	Rule	Example — SIGMA COY EXT, VIA DELGADO 3640, 4000 SMYRNA, ITALY
Country	2-letter ISO code	**IT**
Name	first 3 letters of each of the first 2 words	SIGMA → SIG · COY → COY = **SIGCOY**
Address	up to 4 digits of the **street number**	VIA DELGADO **3640**
City	first 3 letters	SMYRNA → **SMY**
MID		**ITSIGCOY3640SMY**

The trap is the number. Use the **street number** (3640), not the postal code (4000). Distractors on the October 2022 exam: SIGCOY4000ITA (country at the end, postal code), SMYSIGCOY4000ITA (city first, postal code), DELSIGCOY640ITA (wrong word from the address, truncated number).

Worked example — GRI 3(c) when nothing breaks the tie

Vulcanized rubber sphere covered by felt, 2.58" diameter, with a slice through the centre so it fits over the leg of a hospital walker or a chair. Rubber 44–46 g at $0.15/unit; felt 8–9.5 g at $0.31/unit.

Weight favours the rubber. Cost favours the felt. **Neither component is predominant**, so GRI 3(b) essential character does not resolve it. You fall to **GRI 3(c)**: the heading occurring **last in numerical order** prevails.

4016.99 (rubber) versus **6307.90** (textile) → 6307 is higher, so it wins. **Answer: 6307.90.9891.**

The two seductive wrong answers. 9506.61 (tennis balls) — it looks like a tennis ball, but the slice stops the bounce, so it is not one. **9021.10** (orthopaedic appliances) — it is an accessory fitted to a walker, not itself an orthopaedic appliance. Both are traps built on what the article *resembles* rather than what it *is*.

The discipline this rewards. When two components pull in opposite directions on different measures — weight one way, value the other — that is the signal that 3(b) will not settle it. Go to 3(c) and simply take the higher heading number. Do not invent an essential character that the facts do not support.

Fresh versus prepared — the food-chapter dividing line

*April 2013 exam: sweetened banana chips, approximately 65% bananas, 25% coconut oil, 10% sugar, produced by slicing bananas, frying them in coconut oil, sweetening with sugar and drying. Answer: **2008.99.1500** (Chapter 8, Note 3; Chapter 20, Note 5).*

The **process** decides, not the percentage. Frying in oil goes beyond what Note 3 to Chapter 8 permits for dried fruit, so the goods become fruit **otherwise prepared or preserved** and fall to Chapter 20.

Natural state	Prepared
Ch. 2 — meat, fresh or frozen	Ch. 16 — prepared, sausage, canned
Ch. 3 — fish and crustaceans, fresh, frozen, dried, salted, smoked	Ch. 16 — cooked, breaded, canned
Ch. 7 — vegetables, fresh or frozen	Ch. 20 — prepared or preserved
Ch. 8 — fruit, fresh, dried or frozen	Ch. 20 — otherwise prepared
Ch. 10 — cereal grain	Ch. 19 — pasta, bread, biscuits, breakfast cereal

The 65% is bait. The temptation is to reach for essential character under GRI 3(b). But there is no tie to break — **GRI 1** settles it through the chapter notes. When a note decides the question, you never get to GRI 3. Cooking, frying, breading, canning and sweetening almost always move the goods to the prepared chapter.

Watch the distractors. 2005 is prepared **vegetables** — a banana is a fruit. 2007 is jams, jellies and cooked purées. 1905 is bakery products. 0803 is bananas fresh or dried, which the frying rules out. Each wrong option is a different chapter reached by a different wrong turn.

11b · Rules of origin · 19 CFR Part 102

Part 102 is the **codified** origin regime — USMCA marking, textiles and certain non-preferential determinations. It works by **tariff shift**, not by substantial transformation.

The distinction most often tested. Part 102 is a codified tariff-shift rule. The **substantial transformation** test — change in name, character and use — is judge-made and governs non-preferential origin generally. Two different tests. The exam swaps one for the other.

102.1 — definitions

	Term	Meaning
(a)	**Advanced in value**	An increase in value resulting from production — **other than** by minor processing
(b)	**Commingled**	Physically combined or mixed
(d)	**Domestic material**	Country of origin is the **same** as where the good is produced
(e)	**Foreign material**	Country of origin is **not** where the good is produced
(f)	**Fungible goods**	Interchangeable for commercial purposes, essentially identical properties
(g)	**Wholly obtained or produced**	Closed list of 10 cases
(i)	**Improved in condition**	Enhancement of physical condition — **other than** by minor processing
(k)	**Indirect materials**	Used in production, testing or inspection but **not physically incorporated**
(m)	**Minor processing**	Closed list of 9 operations

102.11 — the hierarchy, in mandatory order

Apply **in order** and stop at the first rule that resolves it. Never jump to (b) without exhausting (a).

Rule	Test
102.11(a)(1)	The good is wholly obtained or produced
102.11(a)(2)	Produced exclusively from domestic materials
102.11(a)(3)	Each foreign material undergoes the tariff shift required by 102.20
102.11(b)	Country of the single material imparting essential character (apply 102.18)
102.11(c)	GRI 3 sets and mixtures: all materials meriting equal consideration
102.11(d)(1)	Last country of production other than minor processing
102.11(d)(2)	If only minor processing: materials meriting equal consideration
102.11(d)(3)	Last country in which the good underwent any production

> **De minimis (102.13).** Foreign material failing the tariff shift is disregarded if it does not exceed **7 percent of the value** of the good. Exceptions apply to Chapters 1–24 and textiles have a separate rule.
>
> **Never confers origin (102.17).** Simple or retail packing · mere dilution · collecting goods that form a GRI 3 set · **disassembly**.
>
> **Textiles (102.21).** Own hierarchy. The dominant logic is **fabric forward**: origin is usually where the fabric was formed; for apparel, where the garment was **wholly assembled**.

102.1(m) — minor processing, the 9 operations

If the only thing done in a country is minor processing, that country does **not** become the origin. The list is closed — anything not on it can confer origin.

#	Operation
1	Mere dilution with water or another substance not materially altering the characteristics
2	Cleaning, including removal of rust, grease, paint or other coatings
3	Application of preservative or decorative coatings, lubricants, protective encapsulation, paint, metallic coatings
4	Trimming, filing or cutting off small amounts of excess material
5	Unloading, reloading or any operation necessary to keep the good in good condition
6	Putting up in measured doses, packing, repacking, packaging, repackaging
7	Testing, marking, sorting or grading
8	Ornamental or finishing operations incidental to textile production — dyeing, printing, embroidery, appliqué, pleating, stone or acid washing, permanent pressing, attaching trim
9	Repairs and alterations, washing, laundering or sterilizing

102.1(g) — wholly obtained or produced, the 10 cases

#	Case
1	Minerals extracted in the country
2	Vegetable goods harvested in the country
3	Live animals born and raised in the country
4	Goods from hunting, trapping or fishing in the country
5	Fish and shellfish taken beyond the territorial sea by a vessel registered in and flying the flag of the country
6	Goods produced on board a factory ship from goods of item 5
7	Goods taken from the seabed beyond the territorial sea where the country holds exploitation rights
8	Waste and scrap from production, or used goods collected in the country, fit only for raw material recovery
9	Goods recovered in the country from used goods
10	Goods produced **exclusively** from the goods of 1 through 9

12 · Valuation · Part 152

Hierarchy — in order, no skipping

1. **Transaction value** of the imported merchandise
2. Transaction value of **identical** merchandise
3. Transaction value of **similar** merchandise
4. **Deductive** value
5. **Computed** value
6. Derived (fallback) value

Deductive and computed may be reversed at the importer's request.

Transaction value = price actually paid or payable, PLUS

- **Packing costs** incurred by the buyer
- **Selling commissions** incurred by the buyer
- **Assists**, apportioned
- **Royalties or license fees** the buyer must pay as a condition of sale
- **Proceeds** of subsequent resale accruing to the seller

> **Buying commissions are NOT added.** Selling commissions are. This single distinction appears on nearly every exam.

Assists (152.102(a))

Materials/components incorporated; tools, dies, moulds used in production; merchandise consumed in production; and **engineering, development, artwork, design work, plans and sketches undertaken OUTSIDE the United States**.

> **The U.S. engineering exception.** Design or engineering work performed **in the United States** is **not** an assist. This is the standard question: a drawing made by a U.S. firm → not added.

When transaction value cannot be used

- Restrictions on disposition or use — **except** restrictions imposed by law, limiting the geographic area of resale, or not substantially affecting value
- Sale or price subject to conditions for which a value cannot be determined
- Proceeds accrue to seller and cannot be adjusted
- Related parties, unless the relationship did not influence the price or the value closely approximates a test value

> **Geographic resale restriction.** "May only be resold in New York" is an **allowed** restriction — transaction value still applies. And a buyer's own promotional spending is **not** added.

Computed value

Cost of materials and processing + profit and general expenses + **packing costs** + assists and engineering not already included.

13 · Country of origin marking · Part 134

- Must be **legible, indelible and permanent** (134.41)

- In **English**, in a conspicuous place, so the ultimate purchaser can find it
- Marking duty: **10%** of final appraised value if not properly marked and not exported or destroyed before liquidation (134.51)
- Acceptable formats: "Made in X", "Product of X", "Assembled in X"

> **Assembly.** Where origin is the country of final assembly, listing several countries as if all were origin ("Product of Vietnam, Thailand and China") is **incorrect**. "Assembled in Vietnam from components of Thailand and China" is correct.

14 · Quota · Part 132

- **Absolute quota** — a hard quantity limit; once filled, no more may enter for consumption
- **Tariff-rate quota** — an in-quota rate up to a quantity; above it, a higher rate applies
- **Quota priority** — the precedence of one entry over another for the same quota
- **Quota status** — the right of the merchandise to the quota benefit

When an absolute quota is closed, the lawful options are: **warehouse entry** and hold until the quota reopens, place in an FTZ, or export/destroy. Entering at "column 2 rates" is **not** an option.

15 · AD/CVD and EAPA · Parts 159 and 165

- **Antidumping** — foreign merchandise sold in the U.S. at **less than fair value**, causing or threatening material injury
- **Countervailing** — foreign government subsidy
- **Sunset review** — not later than every **5 years**; would dumping/subsidy likely continue or recur if the order were revoked?
- **Reimbursement certification** — the importer must file it **before liquidation**
- Commerce sets the rates; the **ITC** determines injury; CBP collects

EAPA (Part 165): on reasonable suspicion of evasion, CBP takes interim measures — suspends liquidation of unliquidated entries entered **on or after** initiation, extends liquidation for those entered **before**, and notifies the parties within 5 business days. Investigations are conducted by the **Trade Remedy Law Enforcement Directorate** (TRLED).

16 · Drawback · Part 190

- **Manufacturing drawback** — 1313(a) direct identification; 1313(b) substitution
- **Unused merchandise** — 1313(j)(1) direct identification; 1313(j)(2) substitution
- **Rejected merchandise** — 1313(c)
- Claim filed within **5 years** of the date of importation
- Refund is **99%** of duties, taxes and fees
- Proof of export or destruction is required for a complete claim

17 · Protests, penalties and liquidated damages

- **Protest** — 180 days from liquidation. Protestable: classification, rate, value, exclusion, liquidation/reliquidation, and refusal to reliquidate
- **Not protestable** — decisions to remit/mitigate a penalty, or to cancel a liquidated damages claim on payment of a lesser amount
- **Penalties (1592)** — fraud / gross negligence / negligence, with different maxima; **prior disclosure** sharply reduces exposure but must precede knowledge of a formal investigation
- **Liquidated damages** — contractual, under the bond. Petition within **60 days** to the Fines, Penalties and Forfeitures Officer

> **Liquidation ≠ liquidated damages.** Liquidation closes the entry's account. Liquidated damages is the bond's contractual penalty. Different instruments, different deadlines, different paths.

18 · Intellectual property · Part 133

- Trademarks and copyrights are **recorded** with CBP for border enforcement
- **Counterfeit** goods (133.21) — seizure and civil penalty
- **Gray market** (parallel imports) — genuine goods outside the authorized channel. Under the **common control exception** they normally enter
- **Lever-rule protection** — where the foreign article is **physically and materially different** from the

authorized U.S. article, CBP may bar it. Not automatic: the owner must request it and CBP publishes the determination in the **Customs Bulletin**. A conspicuous permanent **label** disclosing the difference permits entry
- Detention of suspected counterfeits: the importer has a limited number of business days to respond before CBP may release unredacted information to the mark owner

19 · USMCA · Part 182

- **Regional value content** — two methods: **transaction value** and **net cost**
- **Certification of origin** — may be completed by importer, exporter or producer; blanket up to 12 months; no prescribed form, but required data elements
- **Post-importation claim** — within **1 year** of importation (182.32)
- **De minimis** — generally 10% (different for textiles)
- Repairs: goods originating **outside** the USMCA territory are **not** eligible for duty-free treatment on return after repair in Canada/Mexico

20 · Recordkeeping · Part 163

- **5 years** from the date of entry (drawback: 3 years from payment of the claim)
- **(a)(1)(A) list** — the records required to enter merchandise
- Penalties for failure to produce: willful vs negligent, with different maxima per release
- **Recordkeeping Compliance Program** — certification can mitigate penalties

21 · Fees · 19 CFR 24.23

- **MPF (Merchandise Processing Fee)** — formal entries: **0.3464%** ad valorem, subject to a minimum and maximum that are adjusted annually. Informal entries pay a flat fee
- **HMF (Harbor Maintenance Fee)** — **0.125%**, **ocean shipments only** — not air, not truck, not rail
- MPF is not charged on certain preference-program goods

> **Confirm current figures.** MPF minimum/maximum change annually by Federal Register notice. Verify the values in effect for your exam date.

Worked example — total duties and fees on the 7501

*50 mattresses from China, 9404.21.0013, entered value $12,500.00, arriving **by air** at Los Angeles. Regular duty 3.0%; Section 301 25%; AD cash deposit 1731.75%; CVD cash deposit 97.78%; MPF 0.3464%; HMF 0.125%.*

Component	Calculation	Amount
Regular duty 3.0%	$12,500.00 × 0.030	$375.00
Section 301 25%	$12,500.00 × 0.25	$3,125.00
Antidumping 1731.75%	$12,500.00 × 17.3175	$216,468.75
Countervailing 97.78%	$12,500.00 × 0.9778	$12,222.50
MPF 0.3464%	$12,500.00 × 0.003464	$43.30
~~HMF 0.125%~~	**does not apply — arrived by AIR**	$0.00
TOTAL reported on CBP Form 7501		**$232,234.55**

> **The principle.** Every ad valorem rate applies to the **entered value** — never stacked one on top of another. Compute each line off the same $12,500.00, then add.
>
> **Order of calculation:** regular duty → Section 301/232 → antidumping → countervailing → MPF → HMF (only if by vessel).

> **Each wrong option is a named mistake.** $375.00 = regular duty only. $3,500.00 = duty + 301, forgot AD/CVD. $232,191.25 = forgot the MPF. **$232,234.55 = correct.** $232,250.18 = added HMF on air cargo. On a calculation question, work every line and then ask which line the distractors dropped.

> **Rounding.** HMF here would be exactly $15.625 — a half cent. CBP rounds to the nearest cent, half up, giving $15.63. That is how the $232,250.18 distractor is built. Watch for half-cent results on fee lines.

> **HMF is ocean only.** Air, truck and rail pay no Harbor Maintenance Fee. This single fact decides more exam questions than any other point about fees.

22 · Restricted and prohibited merchandise

- **Switchblades** — importation prohibited (15 USC 1241–1245); exceptions in **1244** include federal/state/local government entities and a blade of 3 inches or less for a person with one arm
- **Counterfeit currency, plates and dies** — seized and delivered to the **U.S. Secret Service**
- **Endangered species** — U.S. Fish & Wildlife; antiques may enter only at **designated ports**
- **Milk and cream** — Federal Import Milk Act requires a permit from HHS
- **White phosphorus matches** — prohibited
- **Seditious/treasonous matter** — prohibited

> **Prohibited ≠ restricted.** Prohibited merchandise cannot enter at all absent a statutory exception. Restricted merchandise enters with the right permit or licence from a PGA.

23 · Exam-day tactics

- **Tab your books before the exam.** The HTSUS runs past 3,000 pages; without tabs you cannot find a chapter in time. Tab the GRIs and General Notes first — you will use them constantly
- **Read the call of the question last.** Look for EXCEPT, NOT and FALSE — a large share of missed questions are correct answers to the inverted question
- **In classification, work the GRIs in order** and write which one decided it. If you used GRI 3(c) without first exhausting 3(a) and 3(b), re-check
- **In date questions, write the timeline out.** Arrival, date of entry, entry summary, liquidation. Then count
- **Calendar days vs working days vs business days** — the distinction decides several questions per sitting
- **Do not chase the perfect answer on the first pass.** Mark and return. Every question is worth the same
- Passing score: **75%** — 60 of 80

This is a study aid, not a source of law. Every figure, deadline and rule must be confirmed against the current text of 19 CFR, the HTSUS in force on the examination date, and the Notice of Examination for your sitting. Amounts adjusted for inflation (penalties, MPF, bond minimums) change by Federal Register notice and are the most likely items here to be out of date.